

BREAK EVEN POINT



The price at which you make no profit no loss as a buyer or seller of option contract is called the Break-even price. So, if you have purchased a call option, the exercise price must be higher than the Break-even point to make a profit.

For instance,

let us say the strike of a call option is ₹2100, the premium being ₹50 and exercise price is ₹2150 at the expiry date.



₹2100
STRIKE PRICE



₹50
PREMIUM



₹2150
EXERCISE PRICE

